



Annual Pricing Report 2005/06

Electricity Distribution Services

**Report to the
ACT Independent Competition
and Regulatory Commission**

March 2005

ActewAGL is Australia's first genuine multi-utility, combining electricity and gas network and retail operations with interests in water and wastewater services management. The \$800 million Joint Venture partnership provides services to close to 140,000 electricity, water and wastewater customers and just over 93,000 natural gas customers in the Canberra region.

Ownership of ActewAGL is shared equally between AGL, the nation's largest energy provider, and the ACT Government, through ACTEW Corporation. ActewAGL is organised as two partnerships—distribution and retail. ActewAGL Distribution partners are ACTEW Distribution Limited and AGL Gas Company (ACT) Ltd.

The ActewAGL Distribution partnership owns and operates the electricity network in the ACT and the gas network in the ACT, Queanbeyan, Yarrowlumla Shire and Nowra. Outside its distribution network, ActewAGL sells electricity in the southeast Australian contestable market and provides some skilled services elsewhere in Australia and overseas.

ActewAGL

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CONTENTS

LIST OF TABLES	II
1 INTRODUCTION.....	1
2 ANNUAL PRICING REPORT FOR 2005/2006	3
2.1 Prices consistent with the regulated revenue cap	3
2.1.1 <i>Regulated metering service charges</i>	3
2.1.2 <i>Maximum average revenue for prescribed services.....</i>	3
2.1.3 <i>Distribution use of system charges.....</i>	5
2.1.4 <i>Miscellaneous services charges</i>	6
2.2 Network prices	7
2.2.1 <i>Other network charges.....</i>	7
2.2.2 <i>Network use of system charges.....</i>	10
2.2.3 <i>Metering charges.....</i>	11
2.3 Price changes.....	11
2.3.1 <i>Network prices including metering</i>	11
2.3.2 <i>Discussion of price changes.....</i>	15
2.4 Impact on consumer bills	16
2.4.1 <i>Typical customer bills</i>	16
2.5 Compliance with the medium term strategy	23
2.5.1 <i>Cost reflective prices.....</i>	23
2.6 Level of service and projected capital expenditure.....	23
2.6.1 <i>Expected level of service</i>	23
2.6.2 <i>Projected capital expenditure 2005/06</i>	23

LIST OF TABLES

Table 2.1	Proposed metering charges 2005/06.....	3
Table 2.2	Calculation of the revenue cap to set prices for 2005/06.....	5
Table 2.3	Distribution use of system charges 2005/06.....	5
Table 2.4	Proposed miscellaneous fees and charges	7
Table 2.5	Total pass-through adjustments 2005/06.....	8
Table 2.6	Transmission and other pass-through charges 2005/06.....	9
Table 2.7	Network use of system charges 2005/06 (excluding GST)	10
Table 2.8	Proposed metering charges and forecast revenue 2005/06.....	11
Table 2.9	Network charges 2005/06 (excluding metering)	12
Table 2.10	Network charges 2005/06 (including metering, excluding GST).....	14
Table 2.11	Changes to miscellaneous service charges	16
Table 2.12	Impact on typical domestic customers' forecast bills.....	17
Table 2.13	Impact on typical domestic customers' forecast average network prices.....	17
Table 2.14	Impact on typical domestic <i>off-peak</i> customers' forecast bills.....	18
Table 2.15	Impact on typical domestic <i>off-peak</i> customers' forecast average network prices.....	18
Table 2.16	Impact on typical general network charge customers' forecast bills.....	19
Table 2.17	Impact on typical <i>General</i> network charge customers' forecast average network prices	19
Table 2.18	Impact on typical <i>General TOU</i> network charge customers' forecast bills	19
Table 2.19	Impact on typical <i>business incentive</i> network charge customers' forecast average network prices	20
Table 2.20	Impact on typical small business LV demand customers' forecast bills.....	20
Table 2.21	Impact on typical small business LV demand customers' forecast average network prices	21
Table 2.22	Impact on typical medium size LV demand customers' forecast bills.....	21
Table 2.23	Impact on typical medium size LV demand customers' forecast average network prices	22
Table 2.24	Impact on typical large size HV demand customers' forecast bills.....	22
Table 2.25	Impact on typical large size HV demand customers' forecast average network prices..	23
Table 2.26	Electricity distribution projected capital expenditure 2005/06.....	23

1 INTRODUCTION

The Independent Competition and Regulatory Commission (the Commission), as the jurisdictional regulator for the ACT, is responsible for determining the annual revenue requirement for services provided by ActewAGL's electricity distribution network. The principles under which this revenue requirement is determined are outlined in the National Electricity Code (the Code). Translation of the revenue requirement into network pricing is provided for under part E of chapter 6 of the Code. However, the Code also allows the Commission, in consultation with code participants, to develop an alternative pricing methodology.

The Commission has decided to use an alternative pricing methodology for the regulatory control period commencing on 1 July 2004. As part of this methodology, the Commission requires ActewAGL to provide the following documents explaining charges for prescribed distribution services:

- A pricing strategy statement; and
- An annual pricing statement.

ActewAGL provided the Commission with a pricing strategy statement for the period 2004/05 to 2008/09 together with its annual pricing statement for 2004/05 in May 2004.

This report is the annual pricing statement for 2005/06.

Annual pricing reports are required to contain:

- Demonstration of compliance with the determined revenue cap (the Commission has indicated that it will consider this section of the report commercial in confidence and will not require it to be made publicly available);
- A list of new prices;
- A discussion of price changes (in excess of 5% higher than the natural price change allowed by the Commission's determination) or changes in the structure of prices, and any new or obsolete tariffs;
- A demonstration of the impact on typical customers' bills and forecast average prices (based on typical bill categories as set by the Energy Supply Association of Australia);
- An explanation of how these prices comply with the medium term pricing strategy, or any change in the strategy (substantial change to the strategy requires a new pricing strategy to be approved by the Commission);
- An outline of the expected levels of service and projected capital expenditure programs for the year;
- An outline of the expected consumption for major customer classes and maximum demand for the year.

Once the Commission has approved prices for the coming financial year, this document is to be disclosed publicly on ActewAGL's and the Commission's websites together with the pricing strategy statement already published.

2 ANNUAL PRICING REPORT FOR 2005/2006

2.1 Prices consistent with the regulated revenue cap

The Commission regulates ActewAGL's electricity distribution charges through its Price Direction for the five-year period from 1 July 2004.¹

The Commission regulates the *prescribed* services associated with the conveyance of electricity through the distribution system, including miscellaneous monopoly services, using a maximum average revenue cap. The Commission also uses a revenue cap to regulate metering services to ActewAGL's consumers using less than 160 MWh per annum. These metering services are classed as *excluded* services.

2.1.1 Regulated metering service charges

ActewAGL proposes to adopt charges as per Table 2.1 for metering services in 2005/06 for consumers with loads less than 160 MWh per annum.

Table 2.1 Proposed metering charges 2005/06

Service	Price 2004/05 (\$/day) (excluding GST)	Price 2005/06 (\$/day) (excluding GST)	Change
Quarterly read basic meter	0.09	0.094	4.4%
Monthly read basic meter	0.16	0.164	2.5%
Internal meter	0.05	0.051	2.0%
Time of use meter	0.71	0.75	5.6%
Manually read interval meter	1.71	1.75	2.3%
Special meter reading	25.00	25.00	0.0%
Meter test (deposit)	50.00	50.00	0.0%

2.1.2 Maximum average revenue for prescribed services

ActewAGL's distribution prices and revenue are regulated using a maximum average revenue cap. The maximum average revenue for 2004/05 is 3.676 cents per kWh². To calculate the maximum average revenue for 2005/06, the following formula is used:

$$\text{Maximum average revenue per kWh} = (1 + (\text{CPI}_t + X_t)) \times (\text{MAR}_{t-1})$$

where:

- MAR_{t-1} is the maximum average revenue per kWh in the previous year; and
- CPI means the Consumer Price Index, All Groups Index number for the weighted average of eight capital cities.

¹ ICRC 2004, Appendix 2

² ICRC 2004, p xxv

The CPI figure will be determined using the following formula:

$$CPI_{(t)} = \frac{CPI_{March(t-2)} + CPI_{June(t-2)} + CPI_{Sept(t-1)} + CPI_{Dec(t-1)}}{CPI_{March(t-3)} + CPI_{June(t-3)} + CPI_{Sept(t-2)} + CPI_{Dec(t-2)}} - 1$$

where:

- year t is the year for which tariffs are being set; and
- year t – 1 is the previous regulatory year.

The CPI adjustment figure for the year commencing 1 July 2005 is calculated as follows:

$$CPI_{(2005)} = \frac{CPI_{March(2004)} + CPI_{June(2004)} + CPI_{Sept(2004)} + CPI_{Dec(2004)}}{CPI_{March(2003)} + CPI_{June(2003)} + CPI_{Sept(2003)} + CPI_{Dec(2003)}} - 1$$

Therefore:

$$CPI_{(2005)} = \frac{144.1 + 144.8 + 145.4 + 146.5}{141.3 + 141.3 + 142.1 + 142.8} - 1$$

$$CPI_{(2005)} = \frac{580.8}{567.5} - 1$$

$$CPI_{(2005)} = 2.34\%$$

The Commission has determined the X factor for 2005/06 to be zero. This together with the CPI is applied to the maximum average revenue for 2004/05 to obtain the maximum average revenue in 2005/06, which is calculated to be 3.762 cents per kWh.

The maximum average revenue cap is applied to the actual energy sales in the 2004 calendar year³ to establish the maximum revenue that the proposed prices for 2005/06 may attain on the actual sales in 2004. Actual sales in the 2004 calendar year were 2,629,335,541 kWh. When this is applied to the maximum average revenue for 2005/06, it results in a revenue cap of \$98,915,603 for prescribed distribution services, as shown in Table 2.2. The revenue cap for distribution use of system charges is the remainder after deducting revenue from miscellaneous fees and charges.

³ ICRC 2004, Appendix 2, Part 3 (p 132)

Table 2.2 Calculation of the revenue cap to set prices for 2005/06

Maximum average revenue 2005/06 (c/kWh)	a	3.762
Energy sales ACT 2004 (kWh)	b	2,629,335,541
Prescribed distribution services revenue cap 2004	$c = a \times b / 100$	\$98,915,603
Less miscellaneous fees and charges	d	\$1,022,658
Distribution use of system revenue cap	$e = c - d$	\$97,892,945

2.1.3 Distribution use of system charges

ActewAGL has prepared the following distribution use of system prices for 2005/06 shown in Table 2.3. These would have recovered \$97,892,940 on the actual quantities of 2004 sales.

Table 2.3 Distribution use of system charges 2005/06

<i>Customer Class</i>	<i>2004/05 DUOS Prices (Excluding GST)</i>	<i>2005/06 DUOS Prices (Excluding GST)</i>
Residential Standard Network		
Supply Charge (c/day)	11.70	11.60
Energy (c/kWh)	3.24	3.24
Residential 5,000 Network		
Supply Charge (c/day)	32.00	31.60
Energy (c/kWh)		
<i>To 60 kWh per day</i>	1.64	1.64
<i>Greater than 60kWh per day</i>	3.24	3.24
Residential with Heat Pump Network		
Supply Charge (c/day)	75.00	74.6
Energy (c/kWh)		
<i>To 165 kWh per day</i>	0.14	0.14
<i>Greater than 165 kWh per day</i>	3.24	3.24
Solar Energy	0	0
Off-Peak (1/2) Night Network (c/kWh)	0.12	0.04
Off-Peak (3) Day & Night Network (c/kWh)	0.70	0.50
General Network		
Supply Charge (c/day)	24.00	23.60
Energy (c/kWh)		
<i>To 330 kWh per day</i>	5.55	5.60
<i>Greater than 330 kWh per day</i>	7.45	7.45
General TOU Network		
Supply Charge (c/day)	24.00	25.00
Business (c/kWh)	7.95	7.95
Evening (c/kWh)	4.45	4.35
Off-Peak (c/kWh)	2.30	2.20
Low Voltage Demand Network		
Supply (\$/day)	0.29	0.25
Business (c/kWh)	1.65	1.64
Evening (c/kWh)	1.64	1.62
Off-Peak (c/kWh)	1.00	0.90
Maximum Demand		
(c/kVA/day) or	25.20	26.60
(c/KW/day)	42.00	44.30

<i>Customer Class</i>	<i>2004/05 DUOS Prices (Excluding GST)</i>	<i>2005/06 DUOS Prices (Excluding GST)</i>
High Voltage Demand Network (without LV network)		
Supply (\$/day)	12.00	12.00
Business (c/kWh)	1.40	1.40
Evening (c/kWh)	1.36	1.35
Off-Peak (c/kWh)	0.85	0.75
Maximum Demand (c/kVA/day)	9.75	10.00
Capacity Charge (c/kVA/day)	9.75	10.00
High Voltage Demand Network (with LV network)		
Supply (\$/day)	12.00	12.00
Business (c/kWh)	1.65	1.65
Evening (c/kWh)	1.57	1.55
Off-Peak (c/kWh)	0.98	0.85
Maximum Demand (c/kVA/day)	9.75	10.00
Capacity Charge (c/kVA/day)	9.75	10.00
Streetlight Network		
Supply Charge (c/day)	24.00	23.60
Energy (c/kWh)	2.99	3.06
Unmetered supply		
Miscellaneous network charges		
Supply Charge (\$/day)		
Small Unmetered loads with assessed ratings of:		
50 Watts or less	11.10	12.00
more than 50 but less than 150 W	22.20	24.00
more than 150 but less than 300 W	44.40	48.00
Supply charge (c/W per day)		
more than 300 W but less than 1 kW	0.145	0.157
Internal network charge		
Supply (c/day)	4.00	3.90
Energy (c/kWh)	0.20	0.2695

2.1.4 Miscellaneous services charges

ActewAGL proposes charges for prescribed miscellaneous services as shown in Table 2.4.

The prescribed services revenue from these charges, when applied to units sold in 2004, would have recovered \$1,022,658. Metering is an excluded service so the revenue related to metering charges is regulated under a separate revenue cap.

The total revenue from prescribed services is made up of the distribution use of system charges of \$97,892,940 plus the revenue from miscellaneous fees and charges of \$1,022,658 and totals \$98,915,598. This is within the revenue cap for prescribed services of \$98,915,603.

Table 2.4 Proposed miscellaneous fees and charges

<i>Service charges</i>	<i>Price 2005/06</i>	
	<i>Excluding GST</i>	<i>Including GST</i>
For a visit to re-energise or de-energise a premises		
- Business hours – re-energise	\$40.91	\$45.00
- After hours – re-energise	\$86.36	\$95.00
- Business hours – de-energise	\$36.36	\$40.00
Meter test during business hours (refundable deposit – conditions)	\$50.00	\$55.00
De-energise premises for non-payment	\$68.18	\$75.00
Second meter reading (for example, check read (second in billing period))	\$25.00	\$27.50
Temporary connections		
- Overhead	\$290.91	\$320.00
- Standard underground	\$418.18	\$460.00
- Free-standing underground	\$509.09	\$560.00
Remove, reposition or disconnect service (per site visit)		
- Overhead	\$209.09	\$230.00
- Underground	\$500.00	\$550.00
Upgrade service from single to three phase at customer's request where load does not justify three phase (S&I Rules clause 3.10)		
- Overhead	\$268.18	\$295.00
- Underground – service cable not required	\$268.18	\$295.00
- Underground – service cable replacement required	\$500.00	\$550.00
Inspection defect (applied where a revisit to a site is necessitated by obstructed access or non-compliance with S&I Rules)	\$136.36	\$150.00
Issue of copies of electrical drawings (per sheet or electronic equivalent)	\$10.91	\$12.00
De-energise wires (to allow safer approach, for example for tree pruning, plant operation, oversize loads, construction activities)	\$340.91	\$375.00

2.2 Network prices

2.2.1 Other network charges

The Australian Competition and Consumer Commission (ACCC) regulates transmission use of system (TUOS) charges. The Commission states that TUOS charges are not part of the regulated revenue requirement, and that it will continue to allow ActewAGL to pass through TUOS charges in accordance with the Code.

TUOS

The ACCC has yet to publish its final decision for Transmission charges for NSW and the ACT. Therefore, ActewAGL has had to forecast TUOS costs for 2005/06. This forecast has been projected using Transgrid's prices for 2004/05 escalated by an anticipated price increase of CPI plus 3.5%, reflecting the draft decision. On that basis, ActewAGL estimates TUOS costs in 2005/06 to be \$15,665,265 assuming energy imports into the ACT are 2,763.6 GWh.

For 2004/05, in the absence of an ACCC determination on transmission prices in the NSW and the ACT, ActewAGL assumed an increase in costs of CPI plus 6%. The

ACCC's draft decision⁴ was released in May 2004 and established a revenue increase of CPI plus 3.5%. A final determination is now expected by early May 2005. ActewAGL has recalculated its network revenue cap for 2004/05 to take account of this variation and applied confirmed sales figures for 2003. An amount of \$2.48 million is to be passed back to customers in 2005/06 network prices.

Full retail contestability

The Commission has previously approved the recovery of the initial costs to the distributor of full retail contestability (FRC).⁵ The Commission, in its Final Decision, noted that the pass-through of these costs should occur.⁶ The amount to be recovered in 2005/06 is \$1,030,313.

Total adjustments/pass-through

The impact discussed above is to be passed through into network revenue in 2005/06 and equal \$14,211,249 as shown in Table 2.5.

Table 2.5 Total pass-through adjustments 2005/06

	<i>2005/06 Pass-throughs</i>
Transmission use of system charges	\$15,665,265
FRC Costs	\$1,030,313
Less Network revenue from 2004/05	\$2,484,329
Total	\$14,211,249

These costs will be recovered in 2005/06 when sales are forecast to be 2,654,526 MWh. The Commission's determination requires ActewAGL's distribution prices to be calculated on actual sales in 2004 (2,629,336 MWh). The prices required to recover the required revenue in 2005/06 would recover \$14,076,387 in the 2004 calendar year, assuming that revenue is proportional to energy sales. Hence this amount has been used to calculate prices because prices are required to be calculated based upon 2004 actual sales. These pass-through charges are shown in Table 2.6.

⁴ ACCC 2004, *NSW and ACT Transmission Network Revenue Caps: Transgrid 2004/05 – 2008/09, Draft Decision*, 28 April, p 102

⁵ ICRC letter of 23 May 2003

⁶ ICRC 2004, clause 11.5.3

Table 2.6 Transmission and other pass-through charges 2005/06

<i>Customer class</i>	<i>2005/06 TUOS and pass-through charges (excluding GST)</i>
Residential standard network	
Energy (c/kWh)	0.46
Residential 5,000 network	
Energy (c/kWh)	
To 60kWh per day	0.46
Greater than 60 kWh per day	0.46
Residential with heat pump network	
Energy (c/kWh)	
To 165 kWh per day	0.46
Greater than 165 kWh per day	0.46
Off-peak (1/2) night network (c/kWh)	0.06
Off-peak (3) day & night network (c/kWh)	0.10
General network	
Energy (c/kWh)	
To 330 kWh per day	0.60
Greater than 330 kWh per day	0.65
General TOU network	
Business (c/kWh)	1.80
Evening (c/kWh)	0.90
Low voltage demand network	
Business (c/kWh)	0.60
Evening (c/kWh)	0.43
Maximum demand (c/kVA)	3.40
Or (c/kW/day)	5.70
High voltage demand network (without LV network)	
Business (c/kWh)	0.55
Evening (c/kWh)	0.40
Maximum demand (c/kVA)	2.00
Capacity charge (c/kVA/day)	2.00
High voltage demand network (with LV network)	
Business (c/kWh)	0.55
Evening (c/kWh)	0.40
Maximum demand (c/kVA)	2.00
Capacity charge (c/kVA/day)	2.00
Streetlight network	
Energy (c/kWh)	0.44
Unmetered supply	
Miscellaneous network charges	
Small unmetered loads with assessed ratings of:	
(supply charge (\$/day))	
50 Watts or less	1.00
More than 50 W but less than 150	2.00
More than 150 W but less than 300	4.00
(supply charge (c/W/day))	
More than 300 W but less than 1 kW	0.013
Internal network charge	
Energy (c/kWh)	0.2005

2.2.2 Network use of system charges

The proposed network use of system charges (NUOS) comprise the distribution use of system charges (DUOS) and the TUOS and other pass-through charges for 2005/06 as shown in Table 2.7.

Table 2.7 Network use of system charges 2005/06 (excluding GST)

<i>Customer class</i>	<i>2004/05 network prices</i>	<i>2005/06 DUOS prices</i>	<i>2005/06 TUOS & pass-through charges</i>	<i>2005/06 network prices</i>
Residential standard network				
Supply charge (c/day)	11.70	11.60		11.60
Energy (c/kWh)	3.90	3.24	0.46	3.70
Residential 5,000 network				
Supply charge (c/day)	32.00	31.60		31.60
Energy (c/kWh)				
To 60kWh per day	2.30	1.64	0.46	2.10
Greater than 60 kWh per day	3.90	3.24	0.46	3.70
Residential with heat pump network				
Supply charge (c/day)	75.00	74.60		74.60
Energy (c/kWh)				
To 165 kWh per day	0.80	0.14	0.46	0.60
Greater than 165 kWh per day	3.90	3.24	0.46	3.70
Solar energy				
Off- peak (1/2) night network (c/kWh)	0.18	0.04	0.06	0.10
Off-peak (3) day & night network (c/kWh)	0.80	0.50	0.10	0.60
General network				
Supply charge (c/day)	24.00	23.60		23.60
Energy (c/kWh)				
To 330 kWh per day	6.35	5.60	0.60	6.20
Greater than 330 kWh per day	8.25	7.45	0.65	8.10
General TOU network				
Supply charge (c/day)	24.00	25.00		25.00
Business (c/kWh)	9.95	7.95	1.80	9.75
Evening (c/kWh)	5.45	4.35	0.90	5.25
Off-peak (c/kWh)	2.30	2.20		2.20
Low voltage demand network				
Supply (\$/day)	0.29	0.25		0.25
Business (c/kWh)	2.40	1.64	0.60	2.24
Evening (c/kWh)	2.20	1.62	0.43	2.05
Off-peak (c/kWh)	1.00	0.90		0.90
Maximum demand (c/kVA)	30.00	26.60	3.40	30.00
Or (c/kW/day)	50.00	44.30	5.70	50.00
High voltage demand network (without LV network)				
Supply (\$/day)	12.00	12.00		12.00
Business (c/kWh)	2.10	1.40	0.55	1.95
Evening (c/kWh)	1.89	1.35	0.40	1.75
Off-peak (c/kWh)	0.85	0.75		0.75
Maximum demand (c/kVA)	12.00	10.00	2.00	12.00
Capacity charge (c/kVA/day)	12.00	10.00	2.00	12.00

<i>Customer class</i>	<i>2004/05 network prices</i>	<i>2005/06 DUOS prices</i>	<i>2005/06 TUOS & pass-through charges</i>	<i>2005/06 network prices</i>
High voltage demand network (with LV network)				
Supply (\$/day)	12.00	12.00		12.00
Business (c/kWh)	2.35	1.65	0.55	2.20
Evening (c/kWh)	2.10	1.55	0.40	1.95
Off-peak (c/kWh)	0.98	0.85		0.85
Maximum demand (c/kVA)	12.00	10.00	2.00	12.00
Capacity charge (c/kVA/day)	12.00	10.00	2.00	12.00
Streetlight network				
Supply charge (c/day)	24.00	23.60		23.60
Energy (c/kWh)	3.65	3.06	0.440	3.50
Unmetered supply				
Miscellaneous network charges				
Small unmetered loads with assessed ratings of:				
(supply charge (\$/day))				
50 Watts or less	13.00	12.00	1.00	13.00
More than 50 W but less than 150	26.00	24.00	2.00	26.00
More than 150 W but less than 300	52.00	48.00	4.00	52.00
(supply charge (c/W/day))				
More than 300 W but less than 1 kW	0.17	0.157	0.013	0.17
Internal network charge				
Supply (c/day)	4.00	3.90		3.90
Energy (c/kWh)	0.50	0.2695	0.2005	0.47

2.2.3 Metering charges

The Commission capped revenue from metering for ActewAGL customers consuming less than 160 MWh at \$5.09 million in 2004/05. The amount is to be adjusted for inflation over the regulatory period, resulting in capped metering revenue for 2005/06 of \$5,209,106. This cap applies also to revenue from miscellaneous fees and charges relating to metering. The proposed metering charges are shown in Table 2.8.

Table 2.8 Proposed metering charges and forecast revenue 2005/06

<i>Service</i>	<i>Price 2004/05 (\$/day) (excl GST)</i>	<i>Price 2005/06 (\$/day) (excl GST)</i>
Quarterly read basic meter	0.09	0.094
Monthly read basic meter	0.16	0.164
Internal meter	0.05	0.051
Time of use meter	0.71	0.75
Manually read interval meter	1.71	1.75
Special meter reading	25.00	25.00
Meter test (deposit)	50.00	50.00

2.3 Price changes

2.3.1 Network prices including metering

Network charges for 2005/06, *excluding* metering, are shown in Table 2.9.

Table 2.9 Network charges 2005/06 (excluding metering)

<i>Customer Class</i>	<i>2005/06 Network Charges</i>	
	<i>(Excluding GST)</i>	<i>(Including GST)</i>
Residential Standard Network		
Network access charge (c/day)	11.60	12.76
Energy (c/kWh)	3.70	4.07
Residential 5,000 Network		
Network access charge (c/day)	31.60	34.76
Energy (c/kWh)		
<i>To 60 kWh per day</i>	2.10	2.31
<i>Greater than 60kWh per day</i>	3.70	4.07
Residential with Heat Pump Network		
Network access charge (c/day)	74.60	82.06
Energy (c/kWh)		
<i>To 165 kWh per day</i>	0.60	0.66
<i>Greater than 165 kWh per day</i>	3.70	4.07
Solar Energy		
Off-Peak (1/2) Night Network (c/kWh)	0.10	0.11
Off-Peak (3) Day & Night Network (c/kWh)	0.60	0.66
General Network		
Network access charge (c/day)	23.60	25.96
Energy (c/kWh)		
<i>To 330 kWh per day</i>	6.20	6.82
<i>Greater than 330 kWh per day</i>	8.10	8.91
General TOU Network		
Network access charge (c/day)	25.00	27.50
Business (c/kWh)	9.75	10.725
Evening (c/kWh)	5.25	5.775
Off-Peak (c/kWh)	2.2	2.42
Low Voltage Demand Network		
Network access charge (c/day)	0.25	0.275
Business (c/kWh)	2.24	2.464
Evening (c/kWh)	2.05	2.255
Off-Peak (c/kWh)	0.90	0.99
Maximum Demand (c/kVA/day)	30.00	33.00
<i>or (c/KW/day)</i>	50.00	55.00
High Voltage Demand Network (without LV network)		
Network Access (\$/day)	12.00	13.20
Business (c/kWh)	1.95	2.145
Evening (c/kWh)	1.75	1.925
Off-Peak (c/kWh)	0.75	0.825
Maximum Demand (c/kVA/day)	12.00	13.20
Capacity Charge (c/kVA/day)	12.00	13.20
High Voltage Demand Network (with LV network)		
Network Access (\$/day)	12.00	13.20
Business (c/kWh)	2.20	2.42
Evening (c/kWh)	1.95	2.145
Off-Peak (c/kWh)	0.85	0.935
Maximum Demand (c/kVA/day)	12.00	13.20
Capacity Charge (c/kVA/day)	12.00	13.20

Customer Class	2005/06 Network Charges	
	(Excluding GST)	(Including GST)
Streetlight Network		
Network access charge (c/day)	23.60	25.96
Energy (c/kWh)	3.50	3.85
Unmetered supply		
Miscellaneous network charges		
Small Unmetered loads with assessed ratings of:		
Network access charge (\$/day)		
50 Watts or less	13.00	14.30
more than 50 but less than 150 W	26.00	28.60
more than 150 but less than 300 W	52.00	57.20
Network access charge (c/W per day)		
more than 300 W but less than 1 kW	0.17	0.187
Internal network charge		
Network Access (c/day)	3.90	4.29
Energy (c/kWh)	0.47	0.517

For comparative purposes, prices *including* metering, are listed in Table 2.10 with the rate of increase for each component and the total for the average customer, where appropriate.

Table 2.10 Network charges 2005/06 (including metering, excluding GST)

<i>Customer Class</i>	<i>2004/05 Network Charges</i>	<i>2005/06 Network Charges</i>	<i>Price Change</i>
Residential Standard Network			
Network access charge (c/day)	20.70	21.00	1.4%
Energy (c/kWh)	3.90	3.70	-5.1%
<i>Net change for average consumer</i>			-3.8%
Residential 5,000 Network			
Network access charge (c/day)	41.00	41.00	0.0%
Energy (c/kWh)			
To 60 kWh per day	2.30	2.10	-8.7%
Greater than 60kWh per day	3.90	3.70	-5.1%
<i>Net change for average consumer</i>			-4.0%
Residential with Heat Pump Network			
Network access charge (c/day)	84.00	84.00	0.0%
Energy (c/kWh)			
To 165 kWh per day	0.80	0.60	-25.0%
Greater than 165 kWh per day	3.90	3.70	-5.1%
<i>Net change for average consumer</i>			-7.6%
Solar Energy	0.00	0.00	0.0%
Off-Peak (1/2) Night Network (c/kWh)	0.18	0.10	-44.4%
Off-Peak (3) Day & Night Network (c/kWh)	0.80	0.60	-25.0%
General Network			
Network access charge (c/day)	40.00	40.00	0.0%
Energy (c/kWh)			
To 330 kWh per day	6.35	6.20	-2.4%
Greater than 330 kWh per day	8.25	8.10	-1.8%
<i>Net change for average consumer</i>			-2.1%
General TOU Network			
Network access charge (c/day)	95.00	100.00	5.3%
Business (c/kWh)	9.95	9.75	-2.0%
Evening (c/kWh)	5.45	5.25	-3.7%
Off-Peak (c/kWh)	2.30	2.20	-4.3%
<i>Net change for average consumer</i>			-2.4%
Low Voltage Demand Network			
Network Access (\$/day)	2.00	2.00	0.0%
Business (c/kWh)	2.40	2.24	-6.7%
Evening (c/kWh)	2.20	2.05	-6.8%
Off-Peak (c/kWh)	1.00	0.90	-10.0%
Maximum Demand (c/kVA/day)	30.00	30.00	0.0%
or (c/KW/day)	50.00	50.00	0.0%
<i>Net change for average consumer</i>			-2.7%
High Voltage Demand Network (without LV network)			
Network Access (\$/day)	13.71	13.75	0.3%
Business (c/kWh)	2.10	1.95	-7.1%
Evening (c/kWh)	1.89	1.75	-7.4%
Off-Peak (c/kWh)	0.85	0.75	-11.8%
Maximum Demand (c/kVA/day)	12.00	12.00	0.0%
Capacity Charge (c/kVA/day)	12.00	12.00	0.0%
<i>Net change for average consumer</i>			-3.6%

<i>Customer Class</i>	<i>2004/05 Network Charges</i>	<i>2005/06 Network Charges</i>	<i>Price Change</i>
High Voltage Demand Network (with LV network)			
Network Access (\$/day)	13.71	13.75	0.3%
Business (c/kWh)	2.35	2.20	-6.4%
Evening (c/kWh)	2.10	1.95	-7.1%
Off-Peak (c/kWh)	0.98	0.85	-13.3%
Maximum Demand (c/kVA/day)	12.00	12.00	0.0%
Capacity Charge (c/kVA/day)	12.00	12.00	0.0%
<i>Net change for average consumer</i>			-3.7%
Streetlight Network			
Network access charge (c/day)	40.00	40.00	0.0%
Energy (c/kWh)	3.65	3.50	-4.1%
<i>Net change for average consumer</i>			-4.1%
Unmetered supply			
Miscellaneous network charges			
Small Unmetered loads with assessed ratings of:			
<i>(Network access charge (\$/day))</i>			
50 Watts or less	13.00	13.00	
more than 50 but less than 150 W	26.00	26.00	
more than 150 but less than 300 W	52.00	52.00	
<i>(Network access charge (c/W per day))</i>			
more than 300 W but less than 1 kW	0.17	0.17	0.0%

2.3.2 Discussion of price changes

The Commission's alternative pricing methodology requires "a discussion of price changes (in excess of 5% higher than the natural price change⁷ allowed by the commission's determination) or changes in the structure of prices, and any new or obsolete tariffs".⁸ Given a CPI of 2.34% and an X factor of 0, ActewAGL is required to explain price increases 5% above that level; that is, greater than 7.34%. ActewAGL's maximum increase in network charges is 5.3% for the network access component of the general TOU network charge. Therefore, there are no network price changes for 2005/06 that need to be discussed.

Miscellaneous service charges

There has been a minor revision of charges for miscellaneous services with a view to rounding them from a post GST perspective. The changes to the charges are shown in Table 2.11.

⁷ That is, the CPI plus X increase allowed by the commission's final price determination.

⁸ ICRC 2004, Appendix 6 clause 5.2

Table 2.11 Changes to miscellaneous service charges

<i>Service</i>	<i>Price 2004/05 inc GST</i>	<i>Price 2005/06 inc GST</i>	<i>Change</i>
For a visit to re-energise or de-energise a premises			
Business hours re-energise	\$46.20	\$45.00	-2.6%
After hours re-energise	\$93.50	\$95.00	1.6%
Business hours de-energise	\$38.50	\$40.00	3.9%
Meter test during business hours (refundable deposit – conditions)	\$55.00	\$55.00	0.0%
De-energise premises for non-payment	\$75.00	\$75.00	0.0%
Special meter reading eg check read (2nd in billing period)	\$27.50	\$27.50	0.0%
Temporary connections			
Overhead	\$319.00	\$320.00	0.3%
Standard underground	\$451.00	\$460.00	2.0%
Free standing underground	\$561.00	\$560.00	-0.2%
Overhead: remove, reposition or disconnect service per site visit	\$225.50	\$230.00	2.0%
Underground: remove, reposition or disconnect service per site visit	\$550.00	\$550.00	0.0%
Upgrade service from single to three phase at customer's request where load does not justify three phase (S&I Rules clause 3.10)			
Overhead	\$291.50	\$295.00	1.2%
Underground – service cable not required	\$291.50	\$295.00	1.2%
Underground – service cable replacement required	\$550.00	\$550.00	0.0%
Inspection defect (applied where a revisit to a site is necessitated by obstructed access or non-compliance with S&I Rules)	\$148.50	\$150.00	1.0%
Issue of copies of electrical drawings (per sheet or electronic equivalent)	\$11.00	\$12.00	9.1%
De-energise wires (to allow safer approach eg for tree pruning, plant operation, oversize loads, construction activities)	\$374.00	\$375.00	0.3%

The charge for the issue of electrical drawings has remained constant for a number of years. The 9.1% increase has been proposed to reflect the rise in costs associated with this service over those years.

2.4 Impact on consumer bills

2.4.1 Typical customer bills

The Commission requires that ActewAGL demonstrate the impact on typical customers' bills and forecast average prices (based on typical bill categories as set by the Energy Supply Association of Australia (ESAA)).

Domestic network electricity price

ActewAGL has three domestic electricity network charges:

- Residential Standard Network charge;
- Residential 5,000 Network charge; and
- Residential with Heat Pump Network charge.

The impact on typical domestic customers' bills based on typical bill categories as set by the ESAA is shown in Table 2.12. These bills include metering.

Table 2.12 Impact on typical domestic customers' forecast bills

Network Charge Name	Typical Domestic Network Electricity Bills including GST							
	Consumption - kWh per year							
	Year	600	1,200	2,500	3,500	5,000	7,500	10,000
Residential Standard	2004/05	\$108.85	\$134.59	\$190.36	\$233.26	\$297.61	\$404.86	\$512.11
	2005/06	\$108.74	\$133.16	\$186.07	\$226.77	\$287.82	\$389.57	\$491.32
	Change %	-0.1%	-1.1%	-2.3%	-2.8%	-3.3%	-3.8%	-4.1%
Residential 5,000	2004/05	\$179.80	\$194.98	\$227.87	\$253.17	\$291.12	\$354.37	\$417.62
	2005/06	\$178.48	\$192.34	\$222.37	\$245.47	\$280.12	\$337.87	\$395.62
	Change %	-0.7%	-1.4%	-2.4%	-3.0%	-3.8%	-4.7%	-5.3%
Residential with Heat Pump	2004/05	\$342.54	\$347.82	\$359.26	\$368.06	\$381.26	\$403.26	\$425.26
	2005/06	\$341.22	\$345.18	\$353.76	\$360.36	\$370.26	\$386.76	\$403.26
	Change %	-0.4%	-0.8%	-1.5%	-2.1%	-2.9%	-4.1%	-5.2%

The impact on typical domestic customers' forecast average network prices, including metering, is shown in Table 2.13.

Table 2.13 Impact on typical domestic customers' forecast average network prices

Network Charge Name	Typical Domestic Network Forecast Average Prices							
	Consumption - kWh per year							
	Year	600	1,200	2,500	3,500	5,000	7,500	10,000
Average electricity price - c/kWh (GST inclusive)								
Residential Standard	2004/05	18.14	11.22	7.61	6.66	5.95	5.40	5.12
	2005/06	18.12	11.10	7.44	6.48	5.76	5.19	4.91
	Change %	-0.1%	-1.1%	-2.3%	-2.8%	-3.3%	-3.8%	-4.1%
Residential 5,000	2004/05	29.97	16.25	9.11	7.23	5.82	4.72	4.18
	2005/06	29.75	16.03	8.89	7.01	5.60	4.50	3.96
	Change %	-0.7%	-1.4%	-2.4%	-3.0%	-3.8%	-4.7%	-5.3%
Residential with Heat Pump	2004/05	57.09	28.99	14.37	10.52	7.63	5.38	4.25
	2005/06	56.87	28.77	14.15	10.30	7.41	5.16	4.03
	Change %	-0.4%	-0.8%	-1.5%	-2.1%	-2.9%	-4.1%	-5.2%

Domestic off-peak in conjunction with domestic network charge

ActewAGL offers three domestic off-peak network charges:

- Off-peak (1) Night (obsolete);
- Off-peak (2) Night (obsolete and at the same rate as off-peak (1) night); and
- Off-peak (3) Day & Night.

These charges are available to domestic consumers on the Residential Standard charge. The impact on typical customers' bills of the proposed network charges for the off-peak based on typical bill categories as set by the ESAA is shown in Table 2.14.

Table 2.14 Impact on typical domestic off-peak customers' forecast bills

Network Charge Name	Typical Domestic Network Electricity Bills with Off-peak including GST						
	Consumption - kWh per year						
	Aggregate	5,000	5,000	7,500	7,500	13,000	13,000
	Off-peak	1,300	2,500	2,000	5,000	3,900	6,500
Residential standard with off-peak (1/2) night	2004/05	\$244.41	\$195.31	\$323.02	\$200.26	\$481.22	\$374.83
	2005/06	\$236.34	\$188.82	\$310.37	\$191.57	\$458.98	\$356.02
	Change %	-3.3%	-3.3%	-3.9%	-4.3%	-4.6%	-5.0%
Residential standard with off-peak (3) day & night	2004/05	\$253.28	\$212.36	\$336.66	\$234.36	\$507.82	\$419.16
	2005/06	\$243.49	\$202.57	\$321.37	\$219.07	\$480.43	\$391.77
	Change %	-3.9%	-4.6%	-4.5%	-6.5%	-5.4%	-6.5%

The impact on typical off-peak customers' forecast average network prices is shown in Table 2.15.

Table 2.15 Impact on typical domestic off-peak customers' forecast average network prices

Network Charge Name	Typical Domestic Network Forecast Average Prices c/kWh including GST						
	Consumption - kWh per year						
	Aggregate	5,000	5,000	7,500	7,500	13,000	13,000
	Off-peak	1,300	2,500	2,000	5,000	3,900	6,500
Residential standard with off-peak (1/2) night	2004/05	4.89	3.91	4.31	2.67	3.70	2.88
	2005/06	4.73	3.78	4.14	2.55	3.53	2.74
	Change %	-3.3%	-3.3%	-3.9%	-4.3%	-4.6%	-5.0%
Residential standard with off-peak (3) day & night	2004/05	5.07	4.25	4.49	3.12	3.91	3.22
	2005/06	4.87	4.05	4.28	2.92	3.70	3.01
	Change %	-3.9%	-4.6%	-4.5%	-6.5%	-5.4%	-6.5%

Small business electricity prices

The impact on typical small business customers' bills of the proposed network charges for the General network charge based on typical bill categories as set by the ESAA is shown in Table 2.16.

Table 2.16 Impact on typical *General* network charge customers' forecast bills

Typical Small Business Network Electricity Bills General Network charge including metering, excluding GST Consumption - MWh per year						
Year	6	15	30	40	60	80
2004/05	\$527.00	\$1,098.50	\$2,051.00	\$2,686.00	\$3,956.00	\$5,226.00
2005/06	\$518.00	\$1,076.00	\$2,006.00	\$2,626.00	\$3,866.00	\$5,106.00
Change %	-1.7%	-2.0%	-2.2%	-2.2%	-2.3%	-2.3%

The impact on typical business customers' forecast average network prices is shown in Table 2.17.

Table 2.17 Impact on typical *General* network charge customers' forecast average network prices

Typical Average Small Business Network Electricity Prices General Network Charge including metering Consumption - MWh per year						
Year	6	15	30	40	60	80
Average electricity price - c/kWh (GST exclusive)						
2004/05	8.78	7.32	6.84	6.72	6.59	6.53
2005/06	8.63	7.17	6.69	6.57	6.44	6.38
Change %	-1.7%	-2.0%	-2.2%	-2.2%	-2.3%	-2.3%

Small business time of use electricity prices

The impact on typical small business customers' bills of the proposed network charges for the general TOU network charge based on typical bill categories as set by the ESAA is shown in Table 2.18. Also shown are the prices using the average profile for consumers on this network tariff in the ACT.

Table 2.18 Impact on typical *General TOU* network charge customers' forecast bills

Typical Small Business Network Electricity Bills General TOU Network charge including metering, excluding GST Consumption - MWh per year							
	Year	20	30	40	60	80	100
ESSA profile 25% off-peak	2004/05	\$1,729.25	\$2,420.50	\$3,111.75	\$4,494.25	\$5,876.75	\$7,259.25
	2005/06	\$1,712.50	\$2,386.25	\$3,060.00	\$4,407.50	\$5,755.00	\$7,102.50
	Change %	-1.0%	-1.4%	-1.7%	-1.9%	-2.1%	-2.2%
ActewAGL profile 52% off-peak	2004/05	\$1,421.07	\$1,958.24	\$2,495.40	\$3,569.72	\$4,644.05	\$5,718.37
	2005/06	\$1,409.65	\$1,931.98	\$2,454.30	\$3,498.95	\$4,543.60	\$5,588.25
	Change %	-0.8%	-1.3%	-1.6%	-2.0%	-2.2%	-2.3%

The impact on typical general TOU customers' forecast average network prices is shown in Table 2.19.

Table 2.19 Impact on typical *General TOU* network charge customers' forecast average network prices

Typical Small Business Network Electricity Prices General TOU Network Charge including metering Consumption - MWh per year							
	Year	20	30	40	60	80	100
		Average electricity price - c/kWh (GST exclusive)					
ESSA profile	2004/05	8.65	8.07	7.78	7.49	7.35	7.26
25% off-peak	2005/06	8.56	7.95	7.65	7.35	7.19	7.10
	Change %	-1.0%	-1.4%	-1.7%	-1.9%	-2.1%	-2.2%
ActewAGL profile	2004/05	7.11	6.53	6.24	5.95	5.81	5.72
52% off-peak	2005/06	7.05	6.44	6.14	5.83	5.68	5.59
	Change %	-0.8%	-1.3%	-1.6%	-2.0%	-2.2%	-2.3%

Small business electricity prices for contestable customers

The impact on typical small contestable business customers' bills of the proposed network charges for the low voltage demand network charge based on typical bill categories as set by the ESAA is shown in Table 2.20. It is not possible to duplicate the ESAA profile to derive these prices. Instead of using 100 kW as the maximum demand, a maximum demand of 100 kVA was used. The same energy consumption was used as in the ESAA's analysis. The mix of business, evening and off-peak energy used was that for an average customer on the low voltage demand network charge.

Table 2.20 Impact on typical small business LV demand customers' forecast bills

Typical Small Business Network Electricity Bills for Contestable Customers Low Voltage Demand charge with annual Peak demand of 100 kVA Includes metering, excludes GST						
	Load Factor					
	20%	30%	40%	50%	60%	80%
Year	Consumption - MWh per year					
	175	263	350	438	526	701
2004/05	\$14,754.16	\$16,291.24	\$17,828.32	\$19,365.40	\$20,902.48	\$23,976.64
2005/06	\$14,522.65	\$15,943.98	\$17,365.30	\$18,786.63	\$20,207.95	\$23,050.61
Change %	-1.6%	-2.1%	-2.6%	-3.0%	-3.3%	-3.9%

The impact on typical small low voltage demand customers' forecast average network prices is shown in Table 2.21.

Table 2.21 Impact on typical small business LV demand customers' forecast average network prices

Typical Small Business Network Electricity Prices for Contestable Customers Low Voltage Demand charge with annual Peak demand of 100 kVA Consumption - MWh per year						
Year	Load Factor					
	20%	30%	40%	50%	60%	80%
	Consumption - MWh per year					
	175	263	350	438	526	701
Average electricity price - c/kWh (GST exclusive)						
2004/05	8.42	6.20	5.09	4.42	3.98	3.42
2005/06	8.29	6.07	4.96	4.29	3.84	3.29
Change %	-1.6%	-2.1%	-2.6%	-3.0%	-3.3%	-3.9%

Medium size business electricity prices for contestable customers

The impact on typical medium size contestable business customers' bills of the proposed network charges for the low voltage demand network charge based on typical bill categories as set by the ESAA is shown in Table 2.22. As for the small consumers, it was not possible to duplicate the ESAA profile to derive these prices. Instead of using 250 kW as the maximum demand, a maximum demand of 250 kVA was used. The same energy consumption was used as in the ESAA's analysis. The mix of business, evening and off-peak energy used was that for an average customer on the low voltage demand network charge.

Table 2.22 Impact on typical medium size LV demand customers' forecast bills

Typical Medium Size Business Network Electricity Bills for Contestable Customers Low Voltage Demand charge with annual Peak demand of 250 kVA Includes metering, excludes GST						
Year	Load Factor					
	20%	30%	40%	50%	60%	80%
	Consumption - MWh per year					
	438	657	876	1,095	1,314	1,752
2004/05	\$35,790.40	\$39,633.10	\$43,475.80	\$47,318.50	\$51,161.19	\$58,846.59
2004/05	\$35,211.63	\$38,764.94	\$42,318.26	\$45,871.57	\$49,424.89	\$56,531.52
Change %	-1.6%	-2.2%	-2.7%	-3.1%	-3.4%	-3.9%

The impact on typical medium size low voltage demand customers' forecast average network prices is shown in Table 2.23.

Table 2.23 Impact on typical medium size LV demand customers' forecast average network prices

Typical Medium Size Business Network Electricity Prices for Contestable Customers Low Voltage Demand charge with annual Peak demand of 250 kVA Consumption - MWh per year						
Year	Load Factor					
	20%	30%	40%	50%	60%	80%
	Consumption - MWh per year					
	438	657	876	1,095	1,314	1,752
	Average electricity price - c/kWh (GST exclusive)					
2004/05	8.17	6.03	4.96	4.32	3.89	3.36
2005/06	8.04	5.90	4.83	4.19	3.76	3.23
Change %	-1.6%	-2.2%	-2.7%	-3.1%	-3.4%	-3.9%

Large size business electricity prices for contestable customers

The impact on typical large size contestable business customers' bills of the proposed network charges for the high voltage demand network charge based on typical bill categories as set by the ESAA is shown in Table 2.24.

As for the low voltage consumers, it was not possible to duplicate the ESAA profile to derive these prices. Instead of using 1,000 kW as the maximum demand, a maximum demand of 1,000 KVA was used and the capacity charge was applied to this as well as to the maximum demand charges. The same amount of energy consumption was used as in the ESAA's analysis. The mix of business, evening and off-peak energy used was that for an average customer on the high voltage demand network charge.

Table 2.24 Impact on typical large size HV demand customers' forecast bills

Typical Large Size Business Network Electricity Bills for Contestable Customers High Voltage Demand charge with annual Peak demand of 1,000 kVA Includes metering, excludes GST						
Year	Load Factor					
	20%	30%	40%	50%	60%	80%
	Consumption - MWh per year					
	1,752	2,628	3,504	4,380	5,256	7,008
2004/05	\$118,608.88	\$131,611.25	\$144,613.61	\$157,615.98	\$170,618.34	\$196,623.08
2005/06	\$116,430.98	\$128,337.09	\$140,243.20	\$152,149.31	\$164,055.43	\$187,867.65
Change %	-1.8%	-2.5%	-3.0%	-3.5%	-3.8%	-4.5%

The impact on typical large size high voltage demand customers' forecast average network prices is shown in Table 2.25.

Table 2.25 Impact on typical large size HV demand customers' forecast average network prices

Typical Large Size Business Network Electricity Prices for Contestable Customers High Voltage Demand charge with annual Peak demand of 1,000 kVA Consumption - MWh per year						
Year	Load Factor					
	20%	30%	40%	50%	60%	80%
	Consumption - MWh per year					
	1,752	2,628	3,504	4,380	5,256	7,008
Average electricity price - c/kWh (GST exclusive)						
2004/05	6.77	5.01	4.13	3.60	3.25	2.81
2005/06	6.65	4.88	4.00	3.47	3.12	2.68
Change %	-1.8%	-2.5%	-3.0%	-3.5%	-3.8%	-4.5%

2.5 Compliance with the medium term strategy

2.5.1 Cost reflective prices

ActewAGL's medium term price strategy is to set network prices to be cost reflective so as to provide consumers with the most appropriate cost signals under the revenue cap. As explained in section 2.2 of ActewAGL's *Pricing Strategy Statement 2004/05 to 2008/09*, ActewAGL's network pricing methodology allocates costs to consumers to generate prices that recover the regulated network revenue.

2.6 Level of service and projected capital expenditure

2.6.1 Expected level of service

ActewAGL's investment in, and maintenance of the network ensure that the current standard of service will be maintained in 2005/06 in accordance with customer requirements as derived from the willingness to pay study.⁹

2.6.2 Projected capital expenditure 2005/06

The annual capital forecasts for the regulatory period 2004/05 to 2008/09, as determined by the ICRC, are presented in Table 2.26.

Table 2.26 Electricity distribution projected capital expenditure 2005/06

Year ending 30 June (2002-03 dollars)	2004-05 (\$'000)	2005-06 (\$'000)	2006-07 (\$'000)	2007-08 (\$'000)	2008-09 (\$'000)	Total (\$'000)
ActewAGL system capital proposal	24,195	27,712	33,727	26,164	20,748	132,546
ActewAGL non-system capital proposal	3,556	3,626	3,846	3,958	4,020	19,006
ActewAGL total capital proposal	27,750	31,338	37,573	30,123	24,768	151,552
less ICRC adjustment to system capex	1,064	1,240	1,540	1,162	891	5,897
less Capital contributions	6,128	9,976	13,646	9,558	3,542	42,850
ICRC determined capex allowance	20,558	20,123	22,387	19,402	20,335	102,803

Source: ICRC 2004, *Final Decision – Investigation into prices for electricity distribution services in the ACT*, Table 8.2

⁹ NERA & AC Nielsen 2003, *Willingness to Pay Research Study*, September